Asset Management

With global wealth at about $400 trillion (GWR 2020), a large and sophisticated wealth/asset management industry has developed. This is broadly divided into two classes: asset management and alternative asset management. Financial firms that manage wealth/assets by investing in well-developed investment products like equity and fixed income securities and their offshoots like index funds and derivatives are part of the asset or investment management industry. Financial firms that manage wealth by investing in newer and developing asset classes like real estate, private equity and venture capital are categorized as alternative asset management firms.

The global asset management industry is estimated to be about $90 trillion and the alternative asset management industry about $10 trillion. Total assets under management of the main and alternative asset management industry globally are about $100 trillion, which exceeds the global GDP of about $85 trillion.

The Indian asset management industry is relatively small. Forty-odd companies that have set up MFs to invest savings/profits in different equity, debt and other assets have about $400 billion of assets under management in 2020. All types of pension, superannuation and provident funds together manage about $1200 billion of assets. The alternative asset management industry is more nascent with about $50 billion of assets under management. In all, the asset management industry in India is estimated to be under $2 trillion.

Payments and Other Financial Services

The National Accounts classify financial service providers in three categories: Monetary Financial Institutions (comprising the central bank, deposit-taking corporations and money market funds); Other Financial